

Digital Payments, Frauds & RBI Guidelines

1. Introduction to Digital Payments in India

Digital payments in India have grown at an unprecedented pace over the past decade. Digital transaction volumes have increased **38-fold**, while transaction values have more than tripled. The compound annual growth rate (CAGR) of digital payments stands at approximately **53% in volume** and **13% in value** terms[reference:0].

This growth has been supported by a diverse and interoperable payments ecosystem comprising:

- **Credit and Debit Cards** — for online and point-of-sale transactions
- **UPI (Unified Payments Interface)** — instant bank-to-bank transfers via mobile
- **IMPS (Immediate Payment Service)** — real-time interbank transfers
- **NEFT (National Electronic Funds Transfer)** — batch-based fund transfers
- **RTGS (Real Time Gross Settlement)** — high-value instant settlements
- **Mobile Wallets** — prepaid payment instruments
- **Net Banking** — internet-based banking services

 **Key Point:** Strong security architecture, including mandatory Additional Factor of Authentication (AFA), beneficiary name look-up facilities, and transaction controls have enhanced user confidence and promoted seamless digital usage[reference:1].

However, the potential of digital payments is impeded by complaints related to frauds. A typical fraud through digital payments may **not involve technical compromise of**

systems, but mostly occurs through **manipulation of users** through social engineering, coercion, or impersonation. Victims, acting under deception, themselves initiate and authenticate transactions, leading to **'Authorised' Push-Payment (APP) frauds**[reference:2].

2. Common Digital Payment Frauds

Understanding the types of frauds is the first step towards protecting yourself. Here are the most common digital payment frauds in India:

2.1 Phishing

Phishing is one of the most common UPI frauds where fraudsters **impersonate bank representatives** through fake emails, SMS, or phone calls. They send deceptive messages leading to fake websites where users unknowingly enter their credentials, giving hackers access to their accounts[reference:3].

Example: You receive an SMS saying "Your bank account will be blocked. Update your KYC immediately at this link." The link leads to a fake website that looks exactly like your bank's website.

2.2 Vishing (Voice Phishing)

Fraudsters pose as bank representatives and trick users into revealing sensitive details like **UPI PINs, passwords, OTPs, and CVV numbers** over the phone[reference:4]. They may claim that your account has a problem and ask for your details to "fix" it.

 **Red Flag:** Genuine financial institutions **never** ask for sensitive information such as card PIN, OTP, CVV, or passwords over phone, SMS, or email[reference:5].

2.3 QR Code Scams

QR codes are convenient but can be manipulated to steal data or redirect users to malicious sites. Fraudsters may send fake QR codes that, when scanned, **debit money from your account** instead of crediting it[reference:6].

✓ **Remember:** You **never need to scan a QR code to receive money**. Scanning a QR code is only required to make payments, not to receive them[reference:7].

2.4 UPI Collect Request Scams

Fraudsters misuse the 'collect request' feature of UPI by sending fake payment requests with messages like "**Enter your UPI PIN to receive money**". In reality, entering the PIN **authorises a debit** from your account[reference:8].

⚠ **Golden Rule:** You **never need to enter your UPI PIN to receive money**. UPI PIN is only required to **send** money, not to receive it.

2.5 Digital Arrest Scams

Fraudsters impersonate telecom or banking authorities, accusing victims of involvement in illegal activities like contraband delivery. They **intimidate victims** into sharing personal or financial information[reference:9].

🚫 **Important:** Legitimate officials will **never coerce or demand payments** over the phone. Stay calm, request official documentation, and report such incidents to the Cybercrime Helpline (1930) or the NCRP portal[reference:10].

2.6 Scholarship Scams

Fraudsters exploit students' need for financial aid by offering **fake scholarships**, demanding upfront payments, or collecting sensitive details[reference:11]. Students

are particularly vulnerable to this type of fraud.

2.7 Other Common Frauds

SIM Cloning

Fraudsters clone a user's SIM to receive OTPs and reset UPI credentials, gaining access to their bank account[reference:12].

Screen Monitoring Apps

Malicious apps secretly record users' screens, capturing UPI PINs, OTPs, and banking details[reference:13].

Malware Attacks

Malicious software, often downloaded from fake links, extracts sensitive banking information[reference:14].

Money Mule Scams

Fraud rings transfer stolen money through intermediary accounts (money mules) to conceal illegal transactions[reference:15].

Phishing Websites

Fake websites that look identical to real bank websites to steal login credentials[reference:16].



Deceptive UPI Handles

Scammers create fake UPI handles on social media, luring users with offers or urgent payment requests[reference:17].

3. Preventive Measures for Students

As a student, you are a prime target for digital payment frauds. Here are practical tips to protect yourself:

3.1 The Golden Rules

 NEVER share:

- **OTP** (One-Time Password) — with anyone, even if they claim to be from your bank
- **UPI PIN** — your UPI PIN is like your ATM PIN; never share it
- **CVV** — the 3-digit number on the back of your card
- **Passwords** — your net banking or app passwords
- **Card Details** — card number, expiry date, PIN

3.2 Practical Safety Tips

Do's 	Don'ts 
Use only trusted platforms — official brand websites or reliable marketplaces[reference:18]	Don't click on unknown links in SMS, email, or messages[reference:19]
Download apps only from verified sources (Google Play Store, Apple App Store)[reference:20]	Don't scan unknown QR codes hastily; verify the sender first[reference:21]
Activate transaction alerts via SMS, email, or mobile apps[reference:22]	Don't make payments through SMS or email links [reference:23]
Use strong, unique passwords with multi-factor authentication[reference:24]	Don't use the same password across multiple accounts
Regularly review your account activity and bank statements[reference:25]	Don't share your screen or install remote access apps on someone's request

Verify the UPI ID of the person before making a payment[reference:26]

Don't enter your UPI PIN to **receive** money

3.3 What to Do If You Become a Victim

Immediate Steps:

1. **Notify your bank immediately** — the longer you wait, the higher the risk of loss[reference:27]
2. **Report to Cybercrime Helpline (1930)** or the National Cyber Crime Reporting Portal (NCRP)[reference:28]
3. **Block your card/account** through your bank's app or customer care
4. **Keep evidence** — screenshots, transaction IDs, messages from fraudsters
5. **File a complaint** with your bank and follow up for resolution

Banks must provide customers with **24x7 access** through multiple channels (website, phone banking, SMS, email, IVR, dedicated toll-free helpline) for reporting unauthorised transactions[reference:29].

4. RBI Guidelines on Digital Payments and Customer Protection

The Reserve Bank of India (RBI) has issued several guidelines to protect customers from unauthorised electronic banking transactions. These guidelines establish a **clear framework for determining customer liability** and ensure that banks are held accountable.

4.1 Zero Liability Framework

The RBI's circular on "**Customer Protection – Limiting Liability of Customers in Unauthorised Electronic Banking Transactions**" (dated July 6, 2017) is the cornerstone of customer protection in digital banking[reference:30].

- ✓ **Zero Liability:** A customer's entitlement to **zero liability** arises where the unauthorised transaction occurs due to:
- **Contributory fraud/negligence/deficiency** on the part of the bank[reference:31]
 - **Third-party breach** where the deficiency lies neither with the bank nor with the customer, but lies elsewhere in the system[reference:32]

4.2 Customer Liability in Other Cases

Where the unauthorised transaction is **not** due to the bank's negligence or a third-party breach, the customer's liability is determined based on the **time taken to report** the transaction:

Time to Report	Customer Liability
Within 3 working days	Zero liability
Within 4 to 7 working days	Liability up to ₹5,000 (for limited categories) or as per bank policy
Beyond 7 working days	Liability as per bank's policy approved by the Board

Note: The exact liability amounts and timeframes may vary based on the type of transaction and the bank's internal policies. Always check with your specific bank for precise details.

4.3 Revised Framework (2026)

The RBI has issued **Amendment Directions** to enhance the scope of existing instructions. Key changes include:

- Enhanced scope to cover **other categories of fraudulent electronic banking transactions**, including Authorised Push-Payment (APP) frauds[reference:33]
- Reduced time taken by banks to process complaints related to fraudulent transactions[reference:34]
- Introduction of a **compensation mechanism for small value fraudulent transactions**[reference:35]
- Banks must resolve customer complaints within **45 days** (domestic) and **60 days** (cross-border)[reference:36]
- Banks must provide **shadow reversal** of disputed amounts within **5 calendar days** of receiving notification[reference:37]

✓ **New Compensation Mechanism:** Customers who suffer losses of up to **₹50,000** due to fraudulent electronic transactions may receive compensation amounting to **85% of the net loss** or ₹25,000, whichever is higher[reference:38].

4.4 Authentication Requirements

The RBI has issued the **Reserve Bank of India (Authentication Mechanisms for Digital Payment Transactions) Directions, 2025**, which establish three mandatory principles:

1. **Minimum Two Factors of Authentication (2FA):** All digital payment transactions must have at least two distinct factors of authentication[reference:39]
2. **Dynamic Factor Authentication (DFA):** At least one of the factors must be **dynamically created** or proven, unique to each transaction[reference:40]
3. **Technology-Neutral Approach:** The framework is principle-based, allowing adoption of new authentication technologies[reference:41]

The three categories of authentication factors are:

"Something You Have"

Card hardware, software token, mobile device

"Something You Know"

Password, PIN, security question

"Something You Are"

Fingerprint, biometrics, Aadhaar-based verification

4.5 Customer Induced Controls

The RBI has mandated customer-induced controls for cards (2020), empowering cardholders to:

- **Switch on/off** their cards for different types of transactions
- **Set/modify transaction limits** — domestic and international, at POS/online/contactless transactions[reference:42]
- Use a **"kill switch"** mechanism to disable all digital payment modes temporarily[reference:43]

5. Payment and Settlement Systems Act, 2007

The **Payment and Settlement Systems Act, 2007 (PSS Act)** is the principal legislation governing payment systems in India. It provides the legal foundation for the regulation and supervision of all payment systems.

5.1 Background and Objective

The PSS Act received the assent of the President on **20th December 2007** and came into force with effect from **12th August 2008**[reference:44].

Objective: The PSS Act provides for the **regulation and supervision of payment systems** in India and designates the **Reserve Bank of India (RBI)** as the authority for that purpose and all related matters[reference:45].

5.2 Key Definitions Under Section 2

Payment System

Section 2(1)(i) defines a **"payment system"** as a system that enables payment to be effected between a payer and a beneficiary, involving clearing, payment, or settlement service, or all of them. It does **not include a stock exchange**[reference:46].

The definition includes systems enabling:

- Credit card operations
- Debit card operations
- Smart card operations
- Money transfer operations
- Similar operations[reference:47]

Payment Obligation

"Payment obligation" is defined as what is owed by one participant in a payment system to another such participant which results from clearing or settlement or payment instructions relating to funds, securities, foreign exchange, derivatives, or other transactions[reference:48].

Payment Instruction

"Payment instruction" is defined as any instrument, authorization, or order in any form, including by electronic means, to effect a payment by a person to a participant in a payment system or from one participant to another[reference:49].

Electronic Funds Transfer

"Electronic funds transfer" is defined under Section 2(c) of the PSS Act, 2007 and includes both Card Not Present and Card Present transactions[reference:50].

5.3 Authorisation Requirement (Section 4)

Important: Under Section 4 of the PSS Act, 2007, **no person other than the Reserve Bank can operate or commence a payment system** unless authorized by the Reserve Bank[reference:51].

This means that any entity — whether a bank, fintech company, or payment aggregator — must obtain **explicit authorisation from the RBI** before operating a payment system in India.

The application for authorisation must be made in **Form A** under Regulation 3(2) of the Payment and Settlement Systems Regulations, 2008, along with the prescribed application fee[reference:52].

5.4 Powers of RBI Under the PSS Act

The PSS Act empowers the RBI to issue directions to payment system providers and participants under:

- **Section 10(2):** Power to determine standards for payment systems
- **Section 18:** Power to issue directions to ensure the secure and efficient functioning of payment systems[reference:53]

These powers have been used to issue various directions, including:

- Authentication mechanisms for digital payment transactions (2025)[reference:54]
- Due diligence for Aadhaar Enabled Payment System (AePS) touchpoint operators[reference:55]
- Online Dispute Resolution (ODR) system for digital payments[reference:56]
- Framework for outsourcing of payment and settlement-related activities[reference:57]

5.5 Settlement and Netting (Section 23)

The PSS Act provides the legal basis for "**netting**" and "**settlement finality**". This is of great importance, as in India, other than the RTGS system, all other payment systems function on a net settlement basis[reference:58].

Section 23 deals with settlement and netting, determining payment obligations and settlement instructions among system participants[reference:59].

5.6 Protection of Funds Collected from Customers

Section 23A of the PSS Act, 2007 states that the **first claim on balances of accounts** shall be that of users of the payment system[reference:60].

Customer Protection: This provision ensures that customer funds held by payment system operators are protected and cannot be claimed by other creditors in case of insolvency.

5.7 Penalties for Non-Compliance

Non-compliance with the PSS Act and directions issued under it can lead to penalties. Penalties under the PSS Act, 2007 can reach **₹1 crore** for certain contraventions[reference:61].

6. Summary and Key Takeaways

Key Takeaways for Students

1. **Never share OTP, UPI PIN, CVV, or passwords** with anyone — not even someone claiming to be from your bank.

2. **You never need to enter your UPI PIN to receive money** — UPI PIN is only for sending money.
3. **Never scan unknown QR codes** — verify the sender first.
4. **Report fraud immediately** to your bank and Cybercrime Helpline (1930).
5. **Zero liability** applies if the fraud is due to bank negligence or a third-party breach.
6. **Banks must resolve complaints** within 45 days (domestic) or 60 days (cross-border).
7. **Compensation up to 85% of net loss** (or 25,000) is available for small-value frauds.
8. **2FA is mandatory** for all digital payment transactions.
9. The **PSS Act, 2007** gives RBI the power to regulate all payment systems.
10. **Only RBI-authorised entities** can operate payment systems in India.

Final Advice

Digital payments are safe when used responsibly. Stay informed, stay vigilant, and always verify before you trust. If something feels wrong, it probably is — trust your instincts and verify independently.